

Financial Report - Bank of America Corp (BAC)

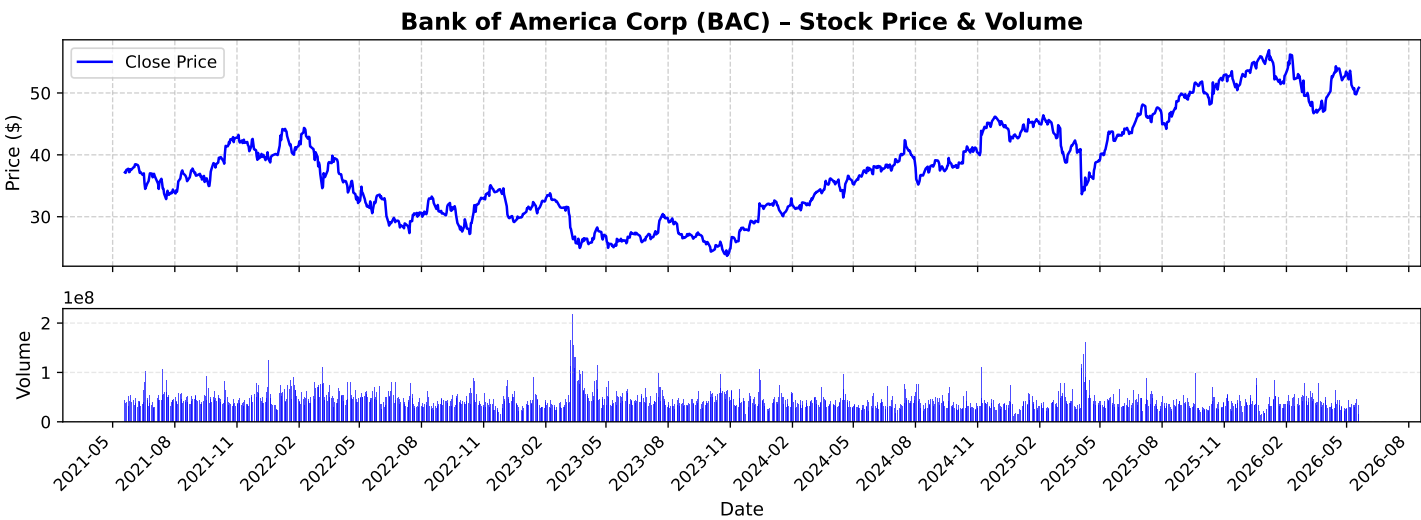
Sector: financial services		Industry: banks - diversified	
Recommendation	Price	12-Month Target Price	Investment Style
BUY	\$50.83	\$106.48	Common Stock

The Bank of America Corporation is an American multinational investment bank and financial services holding company headquartered in Charlotte, North Carolina. Founded in San Francisco, Bank of America was formed through Nations-Bank's acquisition of BankAmerica in 1998. It is the second largest banking institution in the United States, after JPMorgan Chase, and the eighth largest bank in the world. Bank of America is one of the Big Four banking institutions of the United States. It services approximately 10 percent of all American bank deposits, in direct competition with JPMorgan Chase, Citigroup and Wells Fargo. Its primary financial services revolve around commercial banking, wealth management, and investment banking.

Key Metrics

2-Week Price Range: 4.90	10K Invested 5 Years Ago :13,676.38	Avg Daily Volume (M): 43.18
Shares Outstanding (B): 7.42	Market Cap (B): 377.07	Beta: 1.221
Dividend Per Share: 0.00	Dividend Yield: 0	

Stock Price Development



Highlights

First quarter 2026 revenue rose 7% to \$30.3 billion, surpassing analyst expectations.
Net income for the first quarter grew to \$8.6 billion, a 17% increase from the prior year, resulting in diluted earnings per share of \$1.11, up 25%.
The company saw strong performance in sales and trading, as well as higher investment banking and asset management fees.
Bank of America returned \$9.3 billion to shareholders through a combination of common stock dividends and share repurchases.

Risk Assessment

Given the current U.S. economic situation, the task of maintaining revenue growth for BAC has certainly not become easier. Persistent inflation and the potential for increased market volatility pose significant threats to profitability and loan portfolio quality. A slowdown in consumer spending, driven by affordability concerns, could lead to a deterioration in credit performance and lower demand for banking services.
Based on this the risk assesment is: HIGH.

Dividend Discount Model

	1	2	3
Dividende/Aktie	1.214927	1.317900	1.429601
Diskontierte Dividende/Aktie	1.108342	1.096806	1.085390

Terminal Value: 135.92

Company Information

Address Bank Of America Corporate Center, Charlotte, NC, United States, 28255
Website [https://www.bankofamerica.com\(link\)](https://www.bankofamerica.com(link))
Exchange NYSE
Dividend Date 2026-06-26

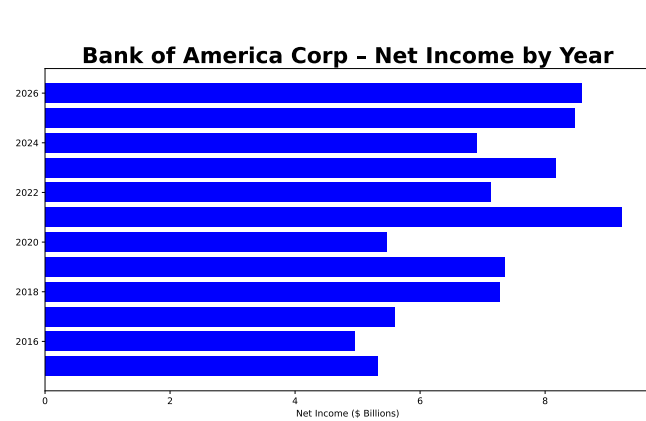
Company Overview

Bank of America Corporation (BAC) is a global financial institution with core business areas in banking and financial services. The company's operations are divided into four main segments: Consumer Banking, Global Wealth & Investment Management, Global Banking, and Global Markets. The Consumer Banking division provides a range of services including deposits, loans, and credit cards to individuals and small businesses. The Global Wealth & Investment Management segment offers wealth and investment management services through Merrill Lynch and Bank of America Private Bank. The Global Banking division serves larger corporations and institutions with services such as lending, treasury management, and investment banking. The Global Markets segment offers sales and trading services to institutional clients across various asset classes.

The United States is Bank of America's primary market, where it serves approximately 70 million consumer and small business clients. The bank has a significant presence with around 3,700 retail financial centers and 15,000 ATMs across the country. The majority of the company's revenue is generated within the U.S. Internationally, Bank of America's presence is concentrated in over 35 countries, where it primarily focuses on institutional and corporate clients.

A key component of Bank of America's recent strategy is its focus on "Responsible Growth," which emphasizes sustainable, client-focused expansion within a defined risk framework. This includes significant investment in digital transformation and technology. The bank has been actively promoting its AI-powered virtual assistant, Erica, which has seen substantial user engagement. Additionally, a major strategic initiative is the commitment to mobilize and deploy \$1.5 trillion in sustainable finance by 2030, with \$1 trillion dedicated to the environmental transition to a low-carbon economy. This initiative focuses on financing solutions for climate change, energy efficiency, and other environmental challenges. The company has also prioritized operational excellence, implementing thousands of employee-sourced ideas to streamline operations and reduce costs.

Bank of America operates in a highly competitive environment, facing rivals from large national banks, regional banks, credit unions, and emerging fintech companies. It is one of the "Big Four" banking institutions in the United States, alongside JPMorgan Chase, Citigroup, and Wells Fargo. Bank of America is the second-largest bank in the U.S. by assets and holds a significant share of domestic deposits. A key competitive advantage is its vast and diversified business model, which allows for extensive cross-selling of products and services. The bank's large scale provides significant economies of scale and a broad distribution network. However, it faces challenges from the rapid pace of technological change and the need to continuously innovate to compete with both traditional and non-traditional financial service providers.



Key Figures

year	2023	2024	2025	2026
close	26.18	36.19	40.34	47.23
EPS	1.00	0.83	0.95	1.16
PE_{Ratio}	26.25	43.55	42.39	40.81
FCFPS	-1.38	-1.93	-0.28	5.63

Key Growth Rates

	1 Year	3 Years	5 Years	8 Years
totalRevenue	-35.58	19.52	22.65	36.14
netIncome _x	16.06	5.18	6.63	24.08
EPS	21.59	16.03	25.87	75.19
DividendsPerShare	7.80	23.16	46.63	121.48

Financial Figures

Per share values

year	2022	2023	2024	2025	2026
Earnings Per Share	0.86	1.00	0.83	0.95	1.16
Dividends Per Share	0.27	0.29	0.31	0.33	0.35
Shares Outstanding (M)	8202.10	8182.30	8031.40	7770.80	7417.50
Book Value Per Share	32.51	34.24	36.55	38.04	40.53
Cash Flow Per Share	-5.54	-1.38	-1.93	-0.28	5.63
Free Cash Flow Per Share	-5.54	-1.38	-1.93	-0.28	5.63
Revenue Per Share	2.83	3.10	3.21	6.05	4.08

Income statement overview (USD)

Operating Revenue	23198	25327	25818	46989	30272
Operating Income	7879	9089	7262	8116	10404
Interest Income (Expense)	11572	14448	14032	14443	15745
Income Before Tax	7879	9089	7262	8116	10404
Income After Tax	7067	8161	6674	7396	8584
Net Income	7067	8161	6674	7396	8584

Balance sheet overview (USD)

Cash	279579	387855	321263	280861	242479
Total Assets	3238223	3194657	3273803	3349424	3496186
Long-Term Liabilities	24789	56564	550876	541269	325964
Total Liabilities	2971606	2914461	2980251	3053843	3195518
Equity	266617	280196	293552	295581	300668

Cashflow overview (USD)

Depreciation	494	503	538	565	605
Cash Flow from Operations	-45430	-11300	-15539	-2184	41770
Capital Expenditures (Investment)	0	0	0	0	0
Cash Flow from Investing	-68408	30846	-71322	-89010	-66451
Cash Flow from Financing	40886	126121	68658	72832	35915
Change in Cash	-72952	145667	NaN	NaN	NaN

Industry Outlook

Automotive Industry Navigates Profound Transformation

The global automotive sector is navigating a period of significant change, driven by a convergence of technological innovation, shifting consumer preferences, and increasing regulatory pressures. The primary engine of this transformation is the industry-wide pivot to electrification. While the growth in battery electric vehicle (BEV) adoption is facing some near-term headwinds due to high prices and infrastructure gaps, hybrid vehicles are gaining popularity as a transitional technology. Governments worldwide continue to promote EV adoption through incentives and stricter emissions standards, pushing manufacturers to invest heavily in developing new electric models and securing battery supply chains.

Simultaneously, the development of autonomous driving and connected car technologies is reshaping the definition of a vehicle. Automakers are transitioning towards software-defined vehicles, creating new revenue opportunities through digital services and in-car experiences. Advanced driver-assistance systems (ADAS) are becoming standard, with the industry making strides toward higher levels of automation.

However, the industry faces substantial challenges. Persistent supply chain disruptions, particularly for semiconductors and raw materials for batteries, continue to impact production and increase costs. The competitive landscape is intensifying with the rise of new, primarily Chinese, electric vehicle manufacturers who are expanding their influence globally. This, combined with high input costs and economic uncertainty, is putting pressure on the profitability of traditional automakers. Furthermore, the need for a skilled workforce in areas like software engineering and battery technology presents a significant hurdle.

Opportunities are emerging in new mobility services, such as car-sharing and subscription models, which cater to a growing urban population less focused on car ownership. There is also significant growth potential in the aftermarket for EV-specific services, including battery repair and the build-out of charging infrastructure. Success in this evolving market will depend on a company's ability to manage the transition to electrification, innovate in software and autonomous technology, and build resilient and localized supply chains.

Industry

Stock	Symbol	Mkt.Cap. (Mil.)	Recent Stk. Price()	P/E Ratio	Beta	EPS ()	Dividend ()
Morgan Stanley	MS	303927	203.29	17.45	1.21	11.04	4.00
HSBC Holdings PLC ADR	HSBC	303112	108.94	14.61	0.57	6.05	0.75
Goldman Sachs Group Inc	GS	279183	947.60	17.29	1.27	54.73	15.50
Royal Bank of Canada	RY	256954	173.83	17.45	0.94	10.59	6.20
Wells Fargo	Company	WFC	227586	96.02	11.49	0.96	6.47

SWOT Analysis

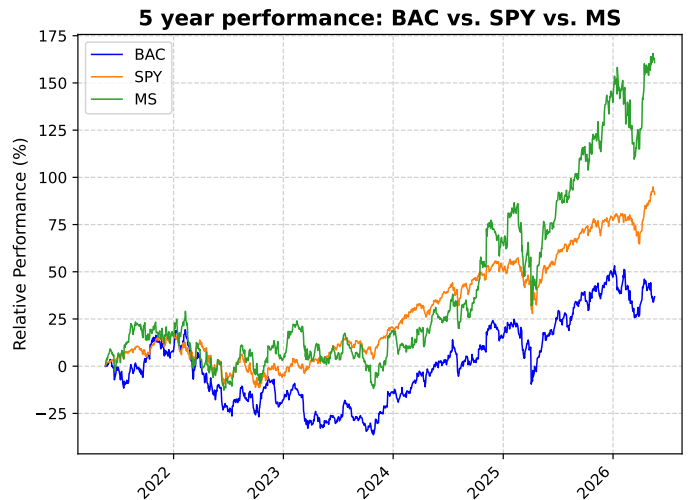
STRENGTHS. Bank of America is one of the largest banks in the United States with a strong brand and a diversified business model that includes consumer banking, wealth management, and investment banking. The company has a vast customer base of millions of individuals and businesses and has made significant investments in digital banking technologies to enhance customer experience.

WEAKNESSES. The bank has a significant reliance on the U.S. market, which makes it vulnerable to domestic economic downturns. Bank of America is also exposed to extensive litigation and regulatory risks which can result in substantial fines and reputational damage.

OPPORTUNITIES. There are opportunities for growth in emerging markets, particularly in Asia and Latin America, which could help diversify revenue streams. Further expansion of digital banking services and the integration of new technologies like AI present significant opportunities for efficiency and improved customer service.

THREATS. The company faces intense competition from other major banks, as well as from the growing fintech sector. Bank of America's performance is also susceptible to economic fluctuations, including changes in interest rates and market volatility. Additionally, the risk of cybersecurity threats and data breaches is a constant concern.

Stock Performance



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Company News

Sector Update: Financial Stocks Fall Pre-Bell Tuesday

Date: 2026-05-19

Financial stocks were falling pre-bell Tuesday, with the State Street Financial Select Sector SPDR E

BofA Study Finds Fewer Gen Z Rely on Family for Financial Assistance, Even With 42% Living Paycheck to Paycheck

Date: 2026-05-19

According to the Bank of America 2026 Better Money Habits® financial education study, 81% of Gen Z (ages 18-29) say it's important to be perceived by others as financially responsible, and fewer are relying on family for financial assistance. Today, 34% of Gen Z report receiving some form of financial assistance from their parents or other family members, down from 46% in 2024. When examined more closely, while 51% of younger Gen Z (ages 18-22) receive financial assistance, this drops to 29% for

US Yields Flirting With 2007 Highs Entice and Divide Investors

Date: 2026-05-19

(Bloomberg) – A surge in longer-maturity US Treasury yields is testing the resolve of global bond investors torn between the possibility of locking in the rates near to the highest levels in decades and the risk of an even greater selloff. Most Read from Bloomberg US Lawmakers Plan New \$130 Fee for Electric Vehicle Owners Billionaire Rinehart Bets \$100 Million on US Defense Stocks Trump Says Holding Off on New Iran Strikes After Gulf Appeal Stocks and Oil Whipsaw on Mixed US-Iran Signals: Markets Wr

Investors' Allocation to Bonds Falls to Four-year Low in May

Date: 2026-05-19

Investors cut allocations to bonds to their lowest in almost four

years, Bank of America's May global fund manager survey says. Their exposure to bonds was cut to a net 44% underweight, the biggest underweight since June 2022, the survey says.

Here Are Tuesday's Top Wall Street Analyst Research Calls: American Tower, Citigroup, CrowdStrike, Fortinet, Hanover Insurance, Jazz Pharmaceuticals, Stubhub, X-Energy, and More

Date: 2026-05-19

Pre-Market Stock Futures: Futures are trading lower on Tuesday as the sell-off in technology stocks carried through to Monday and is headed down that road today. All of the major indices, except the Dow Jones Industrial Average, which closed 0.32% higher at 49,668, finished the day lower. The small-cap Russell 2000 was the big loser ... Here Are Tuesday's Top Wall Street Analyst Research Calls: American Tower, Citigroup, CrowdStrike, Fortinet, Hanover Insurance, Jazz Pharmaceuticals, Stubhub, X-

Nvidia earnings preview: Top 5 debates ahead of earnings

Date: 2026-05-19

Investing.com – Bank of America maintained a Buy rating and \$320 price target on Nvidia ahead of the chipmaker's fiscal first-quarter results due after the close on Wednesday, identifying five key debates likely to dominate investor focus beyond the headline beat-and-raise dynamics the firm expects.

1 Mega-Cap Stock to Own for Decades and 2 We Turn Down

Date: 2026-05-19

Megacap stocks dominate their sectors and their actions influence economies worldwide. The flip side though is that their sheer size means they have less room for explosive growth as scale works against them.

Disclosure

The fundamental data and overview data is pulled from alphavantage and the stock data is from yfinance.

Such a report can be generated for any SP 500 company automatically under

The GitHub repo, all calculations and how the report is generated can be found here:

<https://github.com/TiborB6/report>

For this report the datapoints are automatically calculated, but the texts from gemini are corrected.

The buying decision is based on the DDM model compared to the risk free rate.